

A D I D A S

Sales Data Analysis

Strategic Recommendations Report

Findings and recommendations on product strategy, channel optimization, regional focus, demand forecasting and partner management.

Analysis period: January 2020 – December 2021 (United States)

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Capstone Project -Data Analytics

Executive Summary

This report presents an analysis of Adidas sales performance across products, retailers, regions and sales channels. The objective of the analysis was to identify key revenue drivers, evaluate profitability, understand customer purchasing patterns and provide strategic recommendations to improve future business performance. The analysis was conducted using Microsoft Excel through pivot tables, charts, KPIs and an interactive dashboard.

The findings indicate that footwear products generated the highest revenue, the West region delivered the strongest sales performance, West Gear emerged as the most profitable retail partner and in-store sales remained the dominant sales channel. Furthermore, sales revenue exhibited a consistent upward trend throughout the period, indicating increasing customer demand and strong business growth.

1. Introduction

Adidas operates through multiple retail partners and sales channels, including online, in-store, and outlet sales. As sales data continues to grow, the company requires data-driven insights to support strategic decision-making. This project analyzes Adidas sales data to identify performance trends, evaluate market opportunities and recommend actions that can improve profitability and operational efficiency.

2. Project Objectives

The objectives of this analysis were to:

- Measure overall sales and profitability performance.
- Identify top-performing and underperforming product categories.
- Evaluate sales performance across regions.
- Compare contributions from major retail partners.
- Assess the effectiveness of different sales methods.
- Identify products with growth potential.
- Provide recommendations to improve future business performance.

3. Dataset Overview

The dataset contains Adidas sales transactions from multiple retailers, regions and sales channels. Key attributes include:

- Retailer
- Product
- Region
- Sales Method
- Units Sold
- Total Sales
- Operating Profit
- Operating Margin
- Date

The data was cleaned and organized before analysis to ensure consistency and accuracy.

4. Methodology

The analysis followed the following steps:

1. Data Cleaning and Validation
2. KPI Calculation
3. Pivot Table Development
4. Sales Trend Analysis
5. Product Category Analysis
6. Regional Performance Analysis
7. Retailer Performance Analysis
8. Sales Method Analysis
9. Dashboard Development and Visualization
10. Strategic Recommendation Formulation

Microsoft Excel was used to create pivot tables, charts, KPI cards, slicers and the final interactive dashboard.

5. Key Performance Indicators (KPIs)

The analysis produced the following KPI results:

- Total Sales: \$899,902,125
- Total Operating Profit: \$332,134,761
- Total Units Sold: 2,477,861
- Average Operating Margin: 42.30%
- Total Retailers: 6
- Total Products: 6

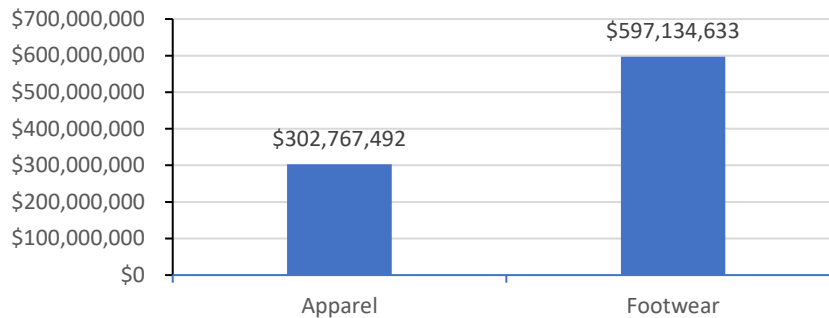
Total Sales	Total Profit	Total Unit Sold	Avg Operating Margin	Total Retailer	Total Products
\$899,902,125.00	\$332,134,761.45	2478861	42.30%	6	6

These KPIs provide an overview of Adidas's overall business performance during the analysis period.

6. Product Category Analysis

Product category analysis revealed that footwear products generated the highest sales revenue compared to apparel products. This indicates stronger customer demand for footwear and highlights its importance as Adidas's primary revenue-generating category.

Sales Revenue by Product Category



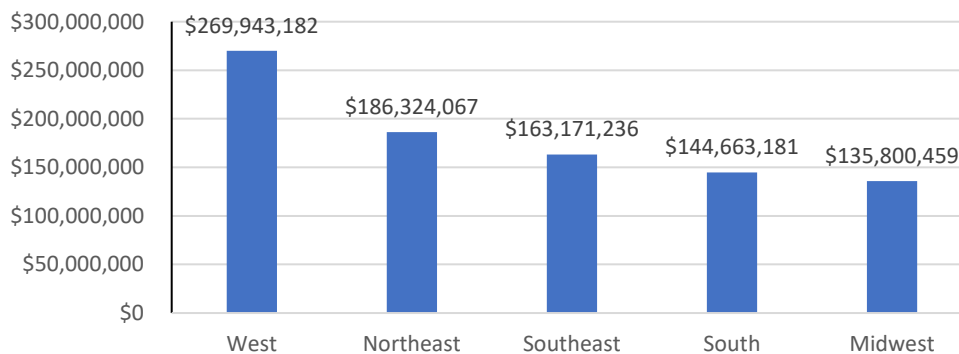
The findings suggest that footwear products should remain a strategic focus area for marketing, inventory allocation, and product development initiatives.

7. Regional Performance Analysis

Regional analysis showed significant differences in sales performance across markets.

The West region generated the highest sales revenue among all regions analysed. This demonstrates strong market demand and successful product penetration within the region.

Regional Sales

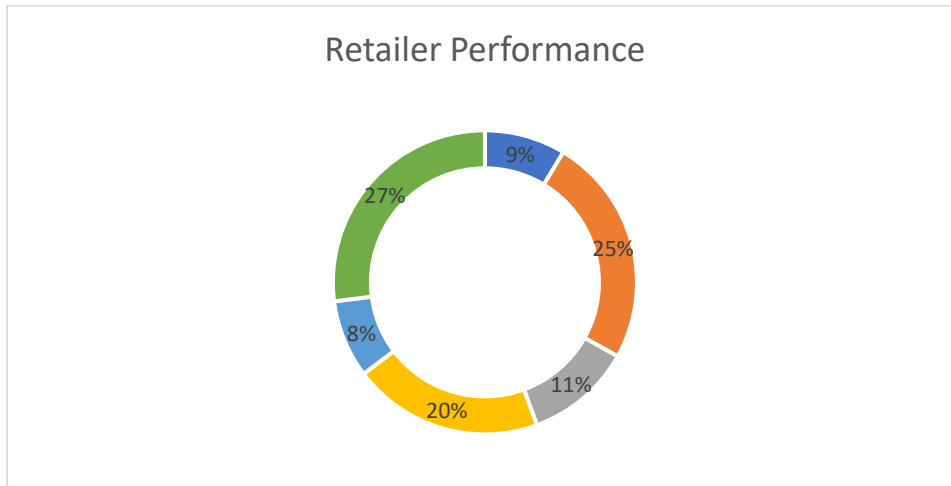


In contrast, some regions generated lower sales volumes and may require targeted marketing campaigns or improved distribution strategies to stimulate growth.

8. Retailer Performance Analysis

The retailer performance analysis revealed variations in revenue and profitability among retail partners.

West Gear emerged as the most profitable retailer, indicating strong sales efficiency and effective customer reach. Other retailers contributed significantly to overall revenue but generated lower profitability levels.



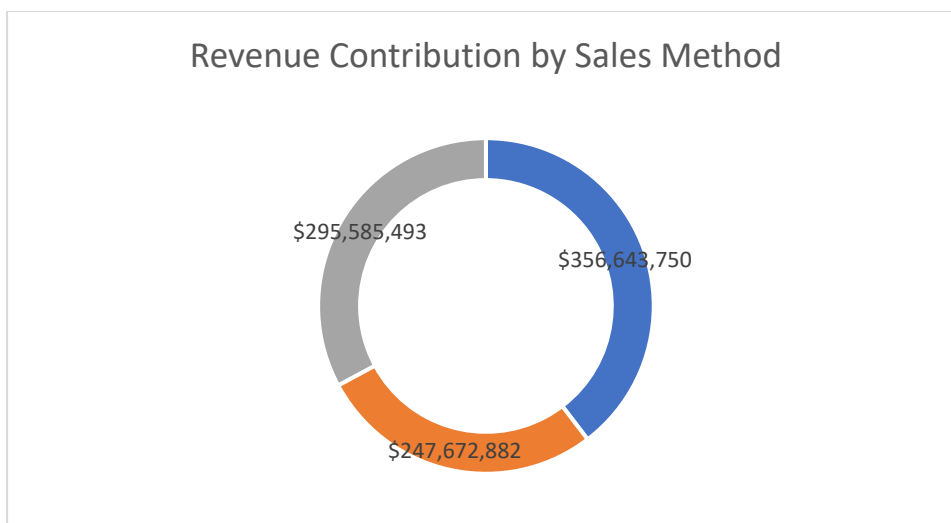
These findings highlight the importance of strengthening relationships with high-performing retail partners while improving performance among weaker retailers.

9. Sales Method Analysis

Analysis of sales channels showed that in-store sales contributed the largest share of total revenue.

Although online sales generated lower revenue compared to in-store transactions, the channel demonstrated strong growth potential and presents opportunities for future expansion.

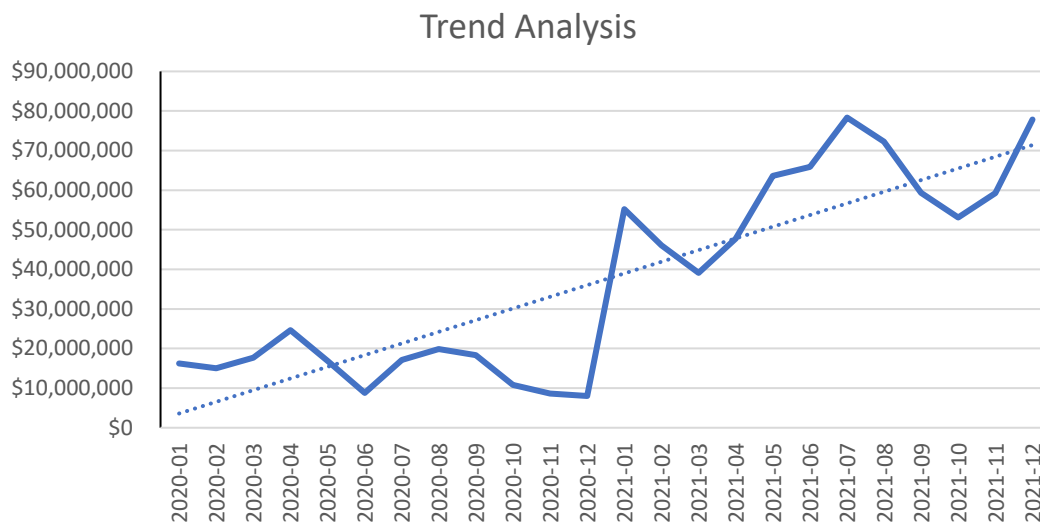
Outlet sales contributed the smallest portion of overall revenue, suggesting the need for pricing optimization and promotional improvements.



10. Trend Analysis

The sales trend analysis revealed a consistent upward movement in revenue over the analysis period.

This positive trend indicates increasing customer demand for Adidas products and reflects strong overall business performance. The sustained growth pattern also suggests favourable market conditions and effective sales strategies.



The trend provides confidence for future expansion initiatives and inventory planning decisions.

11. Key Insights

The following key insights were identified:

- Footwear generated the highest revenue contribution.
- The West region delivered the strongest sales performance.
- West Gear emerged as the most profitable retail partner.
- In-store sales remained the dominant sales channel.
- Sales revenue exhibited a consistent upward trend throughout the period.
- Growing customer demand indicates strong market acceptance of Adidas products.

12. Strategic Recommendations

Product Strategy

- Increase investment in high-performing footwear products.
- Introduce new footwear variants to capitalize on customer demand.
- Monitor lower-performing categories and implement promotional campaigns.

Channel Optimization

- Expand online sales initiatives to capture additional market share.
- Improve digital marketing and e-commerce customer experience.
- Optimize outlet pricing and promotional strategies.

Regional Focus

- Continue investing in the West region to maximize growth opportunities.
- Implement targeted campaigns in underperforming regions.
- Customize product offerings based on regional preferences.

Demand Forecasting

- Use historical sales trends to improve inventory planning.
- Prepare for seasonal demand fluctuations through predictive forecasting.
- Reduce stock shortages and excess inventory levels.

Retailer and Partner Management

- Strengthen partnerships with high-performing retailers such as West Gear.
- Develop performance improvement programs for lower-performing retail partners.
- Use retailer performance data to guide future partnership decisions.

13. Conclusion

The analysis demonstrates that Adidas has achieved strong overall sales and profitability performance. Footwear products, the West region and West Gear were identified as key contributors to business success. Additionally, the upward sales trend indicates growing customer demand and positive market conditions.

By implementing the recommendations provided in this report, Adidas can further strengthen its market position, improve operational efficiency and maximize future revenue and profitability.